

Question 2. Understanding consumer behaviour is essential for organisations to meet customer needs effectively and make informed marketing decisions.

Using examples, critically evaluate the factors that influence consumer behaviour and the challenges for marketers with advancements in digital technologies.

Introduction

Understanding consumer behaviour relies on studying how individuals and organisations select, buy, use and dispose of goods, services or ideas to satisfy their needs. Understanding the behaviour of the people that consume your products is extremely important- it requires a deep understanding of what they value, and this helps the business survive by attracting and retaining customers by essentially giving them what they want. Marketers use the knowledge of their customers to tailor their marketing to them, which includes tailoring the promotion of the product, as well as the product itself if necessary. Marketing decisions regarding other aspects such as distribution, price etc should also be well informed. For example, a business may observe that customers are going to a competitor for a number of reasons. Unless they understand the qualitative, human motivations underlying this behaviour, the business will have to guess, or spend money on market research, to find out whether it's poor promotion, product, price or place that is driving customers away.

Traditionally in the study of consumer behaviour within marketing, human, psychological and sociocultural factors were, and still are, one of the strongest drivers of human motivation and consumption behaviour. Advancements in digital technologies have been constantly shifting and disrupting the traditional linear purchasing journey, and this complicated consumer journey is being surveilled and studied at every step by these same technologies. This theoretically gives each online business tools to granularly study and understand the behaviour of their consumers and notice the factors that influence them, however this also comes with challenges. 'Surveillance capitalism' brings ethical and legal challenges regarding data privacy such as GDPR regulations, information overload and the struggle of what to do with 'big data', and the need for constant strategic agility and adaptation to a shifting economic landscape.

'Consumer Rationality'

Historically, marketing theory has relied on the psychological, theoretical framework of the 'information processing approach' to explain how and why consumers make purchases. A limitation of this approach is its assumption of consumers being inherently rational, cognitive actors who always engage in logical, linear problem-solving. This resulted in the traditional consumer behaviour model depicting a predictable, linear journey- starting with problem

recognition and information searching, ultimately leading to a purchase decision. Marketers could leverage this model to influence consumer behaviour by appealing to a set of specific choice criteria ranging from technical and economic factors such as product performance and value for money, to social and personal aspects, such as personalised products or discounts.

However in reality, this linear journey has been complicated over time by human psychology and the economic and technological environment around us. Nowadays, we are bombarded with marketing stimuli daily, making it impossible to process every message. As a result, many individuals employ 'selective' attention to filter out noise, only paying attention to messages that are actually relevant or meaningful to their current needs. Even if a marketing message successfully enters our conscious attention, it is often subject to a secondary filter known as 'selective distortion', where consumers subconsciously reframe, misinterpret or distort new information so that it aligns with their existing beliefs or attitudes- such as loyalty to a brand. A loyal iPhone user who sees an advert for a Samsung phone with superior camera quality is likely to distort or 'explain away' this message to protect their existing bias, such as by convincing themselves the Samsung may be too complicated to use, or lack the prestige of an iPhone.

Relating to brand loyalty, personal factors, specifically regarding consumer identity and 'self-concept', influence consumer behaviour and provide challenges as well as opportunities. Consumer behaviour theorists such as Russell Belk and Susan Fournier argue that purchases are more than just for functional or economic utility- these purchased possessions hold the symbolic power allowing individuals to build and project their identity. Barbara Kruger's 'I shop, therefore I am' artwork (1987) highlights this point, and shows how this sentiment on consumer identity has spilled into pop culture. Belk's concept of the 'extended self' essentially says that, to an extent, 'we are what we possess' (Belk, 1988). Consequently, consumers will tend to choose to do business with companies based on how closely the brand's perceived personality aligns with their own. This presents a massive opportunity for marketers to build strong, lasting relationships with consumers based on emotional resonance and loyalty. However, the challenge is curating and maintaining a consistent, authentic brand personality, while still keeping strategically agile and adaptable.

'Consumer Culture Theory'

Consumer Culture Theory (CCT) provides a contrasting view of consumption to these traditional assumptions of individualism and utilitarian rationality. Instead, it views consumption as a deeply experiential and sociocultural phenomenon. Theorists like Arnould and Kozinets argue that markets simply provide the cultural materials with which consumers construct their identities. With this perspective, purchasing is rarely an isolated, logical act- instead it is heavily dictated by social pressures from reference groups, such as friends, family or subcultures, whose opinions have greater influence over the buyer than the company they buy from. By buying an iPhone, you are also buying the cultural acceptance from subcultures who frown upon a green text message from an Android (rather than a blue iMessage), driven by the complex psychological phenomenon of conformity to social circles, and amplified by the highly visible nature of social media.

CCT also shows how macro-cultural shifts over time rewrites the rules of consumer behaviour. Traditionally, 'conspicuous consumption' such as purchasing expensive luxury goods was the way to communicate social status and display wealth. Nowadays however, shifting societal norms and global ecological concerns have created a new form of value/status. Modern consumers increasingly seem to rely on moral 'virtue signalling' to gain social capital by buying from sustainable brands, or actively rejecting fast fashion. This is also an opportunity for businesses to align themselves with these values, but, as mentioned before, such brand values must remain consistent and authentic, to avoid accusations of 'greenwashing' which can ruin any positive reputation earned.

'Consumer Decision Journey'

These deep-rooted sociocultural factors along with rapid advancements in technology have altered how consumers navigate the modern marketplace. The traditional marketing funnel where consumers move linearly and predictably towards a purchase decision has become increasingly messy over the decades thanks to mobile technologies. Not only does social media complicate consumer culture and the reasons *why* we buy, but e-commerce technologies also change *how* we buy, and generally make the consumer decision journey (CDJ) longer, more fragmented and more interactive between consumer-company.

McKinsey revises the CDJ, replacing the linear funnel with a circular, dynamic process powered by the continuous 'loyalty loop'. Digital tech advancements have shifted the power balance from the marketer to the consumer, particularly about information. The 'loyalty loop' leverages the power of information consumers have thanks to the whole internet at their fingertips- post-purchase, consumers bypass traditional research and evaluation stages and come back to the same company for repeat purchases to avoid those lengthy stages. Effectively this locks them into a brand's ecosystem, and through the power of traditional word-of-mouth, may additionally lock in reference groups of the initial buyer.

According to McKinsey, two-thirds of the touchpoints during the active evaluation phase of a purchase now involve consumer-driven activities- which includes turning to peer recommendations on social media and other user-generated content such as from influencers, rather than company-produced promotional material. This empowers consumers to curate their own 'evoked sets'- sets of brands consumers immediately consider when making a certain purchase. As a result buyers often have their minds made up early on. This is a challenge for modern marketers as awareness is not nearly enough, they must also figure out how to authentically insert themselves into these consumer-controlled digital touchpoints without appearing intrusive.

'Surveillance Capitalism'

Thanks to technology advancements, businesses have been increasingly equipping themselves with digital tools to track and understand consumer behaviour, and collecting 'Big Data'- characterised by its massive volume, velocity, variety and veracity- to help quantitatively analyse and understand the consumer and their purchasing behaviour. Firms can use web analytics, AI, 'web-scraping' and countless other tools to gather intimate insights into consumer preferences, allowing hyper-personalised marketing strategies. Amazon's recommendation engine drives a significant portion of its revenue, while Bloom & Wild used data-led insights to realise red roses are not as popular for Valentine's Day as they once were.

This constant monitoring at every step presents the ethical challenge of 'surveillance capitalism', where the consumer becomes the product without realising, especially when the product's price seems too good to be true. Brands build databases and algorithms with highly detailed consumer profiles, and this data becomes extremely valuable for that company, as well as others interested in buying the data. This allows companies such as Temu to maximise sales on extremely low prices- often making a loss on these products- in order to additionally maximise the amount of customer data collected and then sold to the highest bidder. Regulations such as GDPR exist, however the emergence of this phenomenon has created a massive trust deficit which marketers need to navigate- balancing between utilising consumer data for business purposes, while respecting privacy boundaries. Apple for example successfully weaponises data privacy as a core competitive advantage over Android phones, to win and maintain this trust.

'Digital Noise'

Another consequence of the growth of digital channels is information overload and 'feature fatigue'. Consumers are constantly bombarded with information, features and choices making the decision-making and evaluation process tedious and often not worthwhile, leading some to seek simplified value propositions instead. To cut through this digital noise and bypass growing consumer scepticism towards traditional corporate advertising, marketers have been investing in influencer marketing. This leverages the psychological reality that humans tend to trust peer recommendations, especially from those that we look up to, or those with social authority and influence.

The problem with influencer marketing is it has become extremely saturated, as the barriers to entry to become an 'influencer' are extremely low. This saturation has brought back the noise, leading to the same overload, fatigue and boredom. Influencer costs have also skyrocketed due to their popularity, and the low barriers to entry and no regulation introduce widespread fraud to the industry, such as buying fake social media followers. Furthermore, influencers moving around companies prevents them from becoming a trusted, loyal spokesperson for one brand, which dilutes the brands' messages and makes it difficult for marketers to measure return-on-investment or maintain a credible, authentic brand personality.

Finally, the current macro-environment in technology and economics has become increasingly volatile, threatening traditional business models with obsolescence. In the modern digital economy, competition between rivals is becoming frequently about differentiating in business models rather than products, so the 'value' for consumers becomes unstable. Technological capabilities shift along with consumer needs, so agile new platforms with superior utility and convenience will outgrow outdated, rigid business models. In the modern marketing landscape, brands cannot rely on operational efficiencies or past strategies from the previous year. Instead, strategic and tactical agility is required to continuously align their value propositions as closely as possible with the shifting needs of customers while utilising new tech, but also remembering customers often shop for simplification over the complexity of the new tech.

Therefore the challenge is providing genuine value to the consumer, rather than just throwing new technology into everything- and to do so, you must know what the customer actually wants. The rise of AI is a good example which highlights how entire industries are using AI as a marketing gimmick, but reality shows that many people don't actually want it as much as companies think, so this value is being artificially inflated.

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